

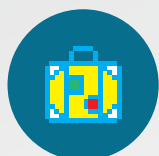
THE QUEST FOR GROWTH

MAJOR FOCUS AREAS OF POLICIES OF STATE GOVERNMENTS



FDI & INDUSTRY PROMOTION

► FDI inflows (annual) into India grew to \$84.2 billion in 2021-22 from \$45.15 billion in 2014-15



TOURISM

► The number of foreign tourists per year is likely to grow to over 25 million by 2030. And, the revenue of India's tourism and hospitality sector is expected to grow to \$50.9 billion by 2028 compared to \$28.9 billion in 2018



MSME

► The MSME sector contributes 30 per cent to India's GDP, 45 per cent to manufacturing, 40 per cent to exports; it provides employment to over 113 million people, as per government data

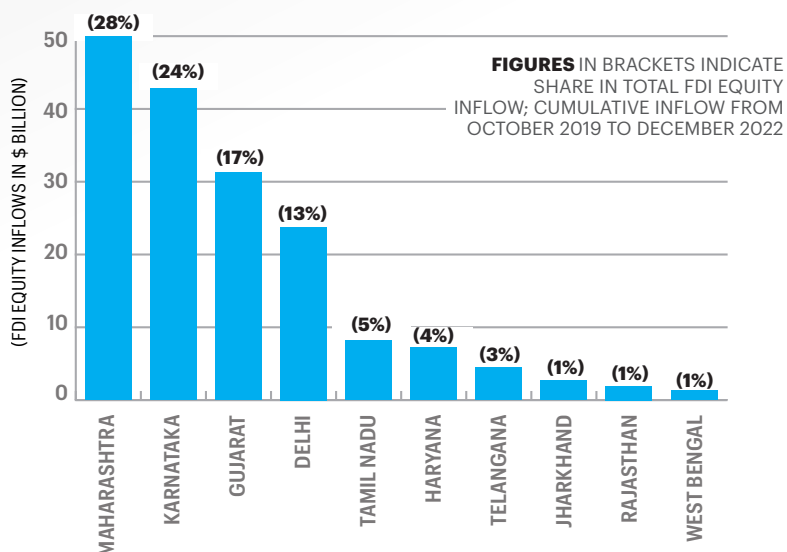


INFRASTRUCTURE

► From April 2000 to December 2021, India attracted FDI worth \$26.17 billion and \$26.30 billion in the construction development and infrastructure sectors, respectively, according to DPIIT

BIG BOYS CLUB

Top 10 states/UTs attracting highest FDI equity inflow



these provisions need to transpire in reality.

ANOTHER BIG OPPORTUNITY is in tourism, and no state is willing to squander the opportunity. Tourism plays a vital role in a state's economy, and there is strong competition between states to leverage tourism in their states. Rajasthan is one such state that is driving a change. In 2022, Rajasthan introduced a Film Tourism Policy, which provides a subsidy of up to ₹2 crore for shooting of films in Rajasthan. In addition, it provides a waiver from all fees and levies applicable for filming at any Rajasthan government-owned monument, palace and property. Also, accommodation in circuit houses and guest houses owned by the government of Rajasthan at official rates, as well as a 50 per cent discount at RTDC/RSHC hotels (subject to maximum ₹10 lakh) have been provided. "Tourism has been one of the key areas states are driving policy reforms in. There are multiple policies to attract more and more tourists to their states, and that is bearing results for many states. This is acting as an additional revenue stream for distressed states," says an expert.

Similarly, Kerala's Caravan Tourism Policy is a unique one. "The policy envisages laying down the broad framework for the development and encouragement of caravan tourism in Kerala, predominantly in the private sector through incentivising the purchase of caravans and for establishing caravan parks, chalking out the process and procedures for its operations and approvals," Kerala's Tourism Minister P.A. Mohamed Riyas said while unveiling the policy. The caravan parks will be developed by both the private and